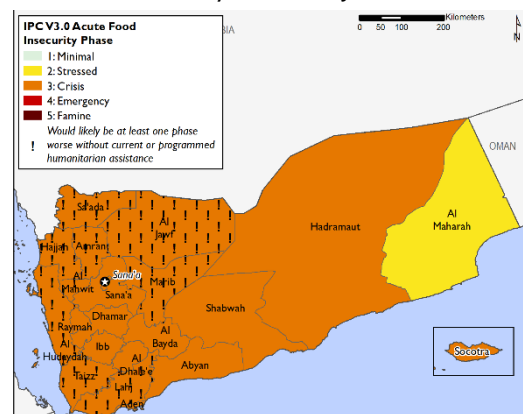


Hold on import financing mechanism expected to be driving further price increases

KEY MESSAGES

- Conflict and poor macroeconomics conditions are expected to continue to drive significantly below-average access to typical sources of food and income throughout the projection period. Crisis (IPC Phase 3) outcomes are expected to persist at the area level even in the presence of large-scale humanitarian assistance, with worst-affected households expected to face Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes. Although not the most likely scenario, Famine (IPC Phase 5) would be possible if there is a significant shock to commercial food import levels or if food supply is otherwise cut off from particular areas for a prolonged period.
- According to key informants, all future rounds of Yemen's letter of credit (LOC) import financing mechanism have been put on hold due to insufficient government revenue, depletion of Saudi financial support, and the rapidly depreciating local currency. Though currency is typically issued to traders quarterly, the most recent LOC distribution occurred in January 2021. As a result, traders have been accessing foreign currency at increased costs, likely contributing to more rapid food price increases via increased costs of importing both food and fuel. This is driving further reductions in household purchasing power due to the expected inability of most households to expand income-earning. As of the last week of May 2021, the cost of the minimum food basket at the national level was **20 percent higher** than the already significantly above-average levels recorded at the beginning of January 2021. Further price increases are expected throughout the projection period.
- In highland areas, harvesting of winter cereals has recently concluded and summer cereal cultivation is nearing conclusion. The late onset of the first rainy season and high input prices have likely reduced area cultivated under summer cereals. Harvesting of spring cereals has ended in the eastern plateau and is beginning in coastal areas. Food from the harvests will temporarily improve food access for farming households. Meanwhile, some fruit harvesting and, in highland areas, year-round qat harvesting is likely providing some labor opportunities. Overall, profits from crop sales in 2021 are expected to be below average and lower than last year due to high prices of inputs, including fuel.

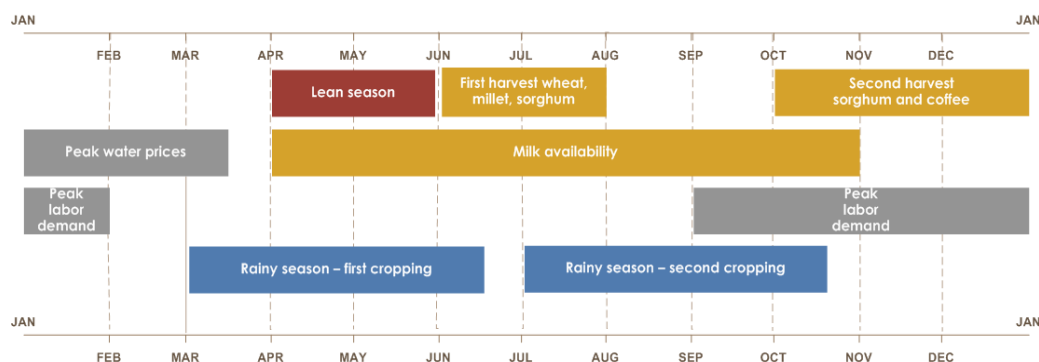
Current food security outcomes, June 2021



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

SEASONAL CALENDAR FOR A TYPICAL YEAR



Source: FEWS NET

NATIONAL OVERVIEW

Current Situation

Conflict and political instability continue to drive deteriorating macroeconomic conditions, below-average access to income, and significantly above-average prices of food and essential non-food commodities in Yemen. In the north, the Sana'a-based authorities (SBA) continue to reject peace negotiations until their longstanding demand for lifting the Saudi blockade of ports and Sana'a airport is met. In the south, tensions between the internationally recognized government (IRG) and the Southern Transitional Council (STC) have escalated. Following the departure of IRG authorities from Aden in the first quarter of 2021, STC authorities have been establishing government bodies and filling appointments without consultation of the IRG side, according to a Yemeni security firm. A new round of talks between the IRG and STC is ongoing in Riyadh as of mid-June.

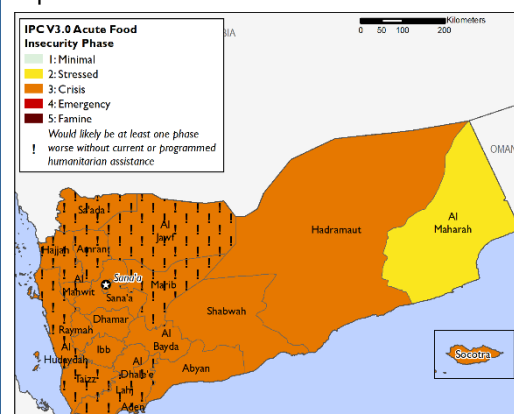
After a period of escalation from January to March 2021, levels of **conflict** in Yemen have decreased slightly in April and May but remain high overall according to data from the [Armed Conflict Location & Event Data Project](#) (ACLED). From January to May 2021, **1,351 battles and 1,563 incidents of explosions/remote violence** were recorded. These totals were 19 and 35 percent lower, respectively, than during the same time period of last year. However, according to the Logistics Cluster's [access constraints map as of May 6, 2021](#), segments of major roads continue to be closed or difficult to access. In Marib, where conflict escalated in February, missile strikes aimed toward Marib City continue to cause civilian casualties, damage infrastructure, and destroy property.

According to IOM monitoring, **6,292 households** have been **displaced** across 10 of 24 monitored governorates in Yemen from January 1 to June 19, 2021. This total is 62 percent lower than the number displaced in these governorates in [same time period of 2020](#). In both years, the majority of displacements occurred in the first quarter of the year, alongside escalated conflict in Marib. More recently, flooding in the first week of May 2021 displaced **262 households** in the period of May 2-8.

The Yemeni **economy**—which had already been struggling following multiple shocks since 2011—has been devastated by conflict since 2014, driving **real GDP loss of approximately 45 percent** and cumulative losses in economic activity **estimated at around 66 billion US dollars** by the end of 2019 according to the Yemeni Ministry of Planning. Currently, the most important sources of government revenue are oil and gas production, taxes, and customs duties, with remittances and foreign assistance providing important sources of foreign exchange alongside oil and gas. In 2020, declining inflows of government revenue, foreign assistance, and remittances further worsened the economic situation, exacerbating foreign exchange shortages and further limiting government capacity to support importation, pay salaries, and fund public services and local operations budgets.

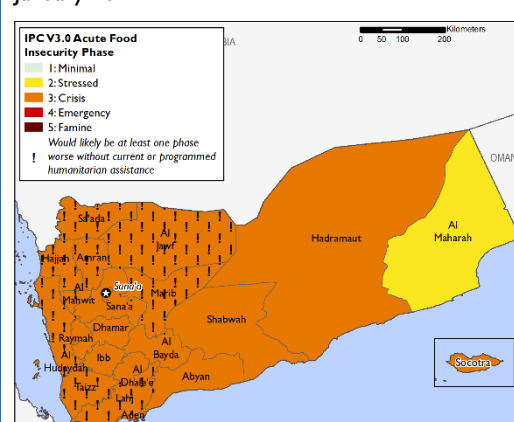
Disparate monetary policies continue to contribute to a widening gap in **exchange rates** between northern SBA and southern IRG areas (Figure 1). In the south, the currency has continued to depreciate alongside the printing of new bank notes. In the north, where the new bank notes are banned, the exchange rate has remained relatively stable over the past year and a half. Diverging exchange rates and the ban on new bank notes in the north are resulting in fees of more than 50 percent to send cash transfers from southern to northern areas. This has significantly increased the cost of sending internal remittances and has increased traders' reliance on foreign currency as an alternative. On average across IRG governorates, the parallel market exchange rate in May 2021 had reached a record 904 YER/USD according to data from [FAO](#), representing a 36 percent loss of

Projected food security outcomes, June to September 2021



Source: FEWS NET

Projected food security outcomes, October 2021 to January 2022



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

value since the same time last year. Meanwhile, in the north, the exchange rate has remained generally stable since late 2019. More recently, in June, all transfers of hard currency from southern areas have been halted in an effort to control the exchange rate.

Oil products contribute 63 percent of Yemen's total exports, with revenues accounting for about **70 percent** of the country's general budget. Current average production is about 55,000 barrels per day. In May 2021, the Yemeni Minister of Oil and Minerals announced that five international oil companies who froze their operations in Yemen with the onset of the conflict in 2015 would resume operations in the country. He also announced plans to increase oil production by an estimated 20,000-25,000 barrels per day alongside new efforts to increase production and exploration in Shabwah, Marib, and Hadramaut. However, the **kidnapping** of three employees of foreign oil companies in June has already posed a set-back to operations.

An estimated **60 to 70 percent** of Yemen's food and non-food imports enter through the main seaports of Al Hudaydah, As Salif, Aden, Socotra, and Al Mukalla. Typically, the Central Bank of Yemen (CBY) based in Aden supports the importation of essential food and non-food commodities through the country's **letters of credit (LOC) import financing mechanism**, which provides foreign currency to traders at preferential exchange rates. However, since early this year, **all future rounds of the LOC mechanism have been put on hold** due to insufficient government revenue, depletion of Saudi financial support, and the rapidly depreciating local currency (as the value of foreign currency had been changing between the time when traders submitted applications and the time when foreign currency was issued). Though foreign currency is usually issued on a quarterly cycle, the most recent distribution occurred in January 2021 following approval to withdraw **batch number 39** of the Saudi deposit which has been financing the LOC mechanism. As a result, traders have been accessing foreign currency on the parallel market at increased costs, expected to be putting additional upward pressure on food prices both directly via higher costs of importing food and indirectly via higher costs of importing fuel.

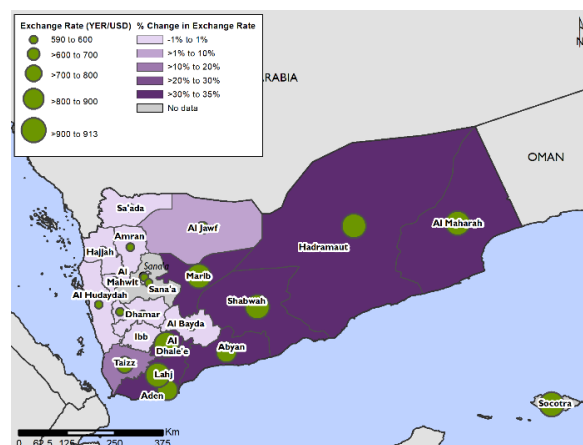
Source: FEWS NET, using data from FAO

From January to April 2021, **2,027,811 tons of food were imported** through all of Yemen's main seaports and land ports (Shahin and Wadiea'ah) according to data from FAO, of which 62 percent was wheat grain and 7 percent was wheat flour. Monthly average food import levels during this period were 19 percent higher than the monthly average during the same period of 2020 and 11 percent higher than the monthly average throughout 2020. According to the Ministry of Trade and Industry (MTI), **stocks of wheat** in Al Hudaydah and As Salif silos totaled around 6,585,760 sacks as of May 2021, similar to levels last month. Stock levels are assessed to be enough to cover consumption requirements in northern SBA areas for approximately three months.

The latest **fuel crisis** ongoing since mid-2020 in SBA-controlled areas has continued to negatively affect livelihoods and put upward pressure on prices of food, water, and other essential goods. As of May 26, six ships carrying **148,653 metric tons** of fuel had been cleared by UNVIM to enter Al Hudaydah port but had not been permitted by the Saudi Coalition to enter. However, as of the first week of June, an unspecified number of ships had been allowed by the Saudi coalition to enter and unload according to **media reports**. As of **June 9**, one ship was unloading, with fuel to reach local markets beginning the next day. According to the Yemen Petroleum Company, fuel was being supplied to official stations in SBA-controlled areas with retail prices of 425 YER/Liter for petrol and 395 YER/Liter for diesel. Though these **prices are 47 and 36 percent higher**, respectively, than official prices at the same time in 2020, they are more than 30 percent lower than unofficial prices, on average. According to key informants as of late June, lines for fuel at official stations have been declining. As such, increased fuel availability at lower official prices is expected to be providing some relief in SBA areas.

Meanwhile, in IRG areas, **fuel prices** remain significantly higher than at the same time last year, **by 94 percent for diesel and 127 percent for petrol**, as of May 2021. **Official fuel price increases** in recent months are likely at least partially attributable to the absence of support through the LOC mechanism. Despite some improvement in public services following receipt of the first batch of fuel from the Saudi fuel grant in May, technical and structural issues have to date prevented significant

Figure I. Parallel market exchange rate (YER/USD) in governorates of Yemen as of May 2021 and percent change from May 2020 to May 2021



Source: FEWS NET, using data from FAO

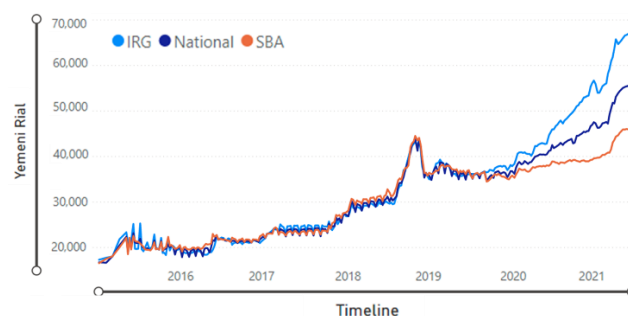
improvement. In mid-June, the **second tranche** of fuel support arrived in Al Mukalla, intended to support provision of electricity in Hadramaut. The fuel grant is equivalent to 422 million USD and will supply the public service for one year.

Food prices have generally continued to increase in both IRG- and SBA-controlled areas in recent months, with the fastest rates of increase in prices of the minimum food basket (MFB) recorded in February and March 2021 (Figure 2). **IRG-controlled areas** continue to be worst-affected by food price increases, due primarily to depreciation of the currency, though fuel price increases in 2021 have put additional upward pressure on food prices across Yemen. According to data from **FAO**, average prices of staple wheat flour (imported) in IRG-controlled areas remained stable from April to May 2021, though at levels around 66 percent higher than last year. Worst affected over the past year has been Marib governorate, where prices have increased significantly since the beginning of 2021 alongside escalated conflict, due to households stockpiling food. In May 2021, wheat flour prices in Marib were more than double prices recorded at the same time last year. **In SBA-controlled areas, prices of food have been increasing more gradually over the past year**, driven primarily by rising fuel prices. Average prices of wheat flour in SBA areas remained stable overall in May 2021 though at levels 21 percent higher than in May 2020.

According to data from FAO, **labor wages** have also been generally increasing over the past year due to inflation, through trends are mixed across governorates. However, wage increases have generally been insufficient to keep up with rising food prices. In May 2021, **purchasing power** for laborers as measured by the terms of trade (a ratio) between wheat flour prices and wage rates was worse than at the same time last year in almost all governorates (Figure 3). Meanwhile, though some households reportedly received government salary and pension payments in **June 2021**, payments remain irregular overall. Additionally, salaries have not been increased since the start of the conflict, resulting in much lower real value, especially in IRG areas.

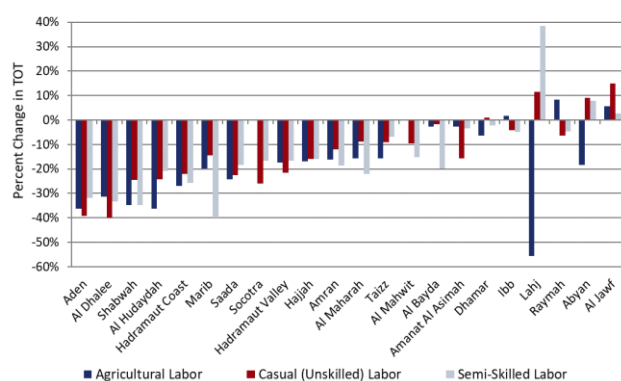
As the economic situation has deteriorated, **remittances** from Yemenis working abroad have increasingly served as a significant source of income for many households. However, remittance inflows likely declined in 2020 according to monitoring by the Cash Working Group, largely expected to be due to the impacts of COVID-19 on economies in Saudi Arabia and the Gulf. While levels of foreign remittance inflows are expected to have recovered somewhat relative to the pre-COVID period alongside economic recovery in Saudi Arabia, a new vaccination requirement imposed by Saudi Arabia at land borders in June 2021 has been preventing Yemeni workers from entering. As full vaccination with the AstraZeneca vaccine requires at least two months, some Yemenis will likely lose their job opportunities in Saudi Arabia due to inability to afford renewal fees for visas.

Figure 2. Cost of the minimum food basket, January 2015 to first week of June 2021



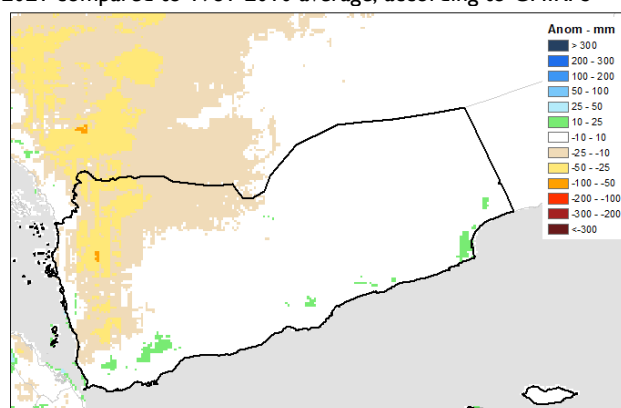
Source: FAO

Figure 3. Change in purchasing power for laborers from May 2020 to May 2021, as measured by terms of trade between price of imported wheat flour (YER/kg) and labor wages (YER/day)



Source: FEWS NET, using data from FAO

Figure 4: Seasonal rainfall accumulation anomaly, March – May 2021 compared to 1981-2010 average, according to CHIRPS



Source: USGS/EROS

Cumulative precipitation during Yemen's first rainy season from March to May 2021 was near average across most of the country but below average across western and northwestern areas (Figure 4). Rainfall was also erratically distributed over time. While precipitation was below average through much of April, most rain was received from mid-April to mid-May, resulting in flooding in some areas. This precipitation also improved vegetation conditions to above-average levels according to [satellite imagery](#), likely improving pastures for livestock including in the Tihama region where most of Yemen's livestock are raised. As such, pastoralists are currently expected to be holding and fattening their livestock in advance of Eid Al Adha.

The recent rainy season has increased the threat of **locust breeding**. However, control operations and dry conditions in Saudi Arabia have resulted in [declining numbers of hopper bands](#) across the Arabian Peninsula in June, with locust presence in Yemen remaining minimal. According to FAO, detection teams have been deployed in the Yemen interior.

In highland areas, harvesting of winter cereals has recently concluded and summer cereal cultivation is nearing conclusion. The late onset of the first rainy season and high input prices have likely reduced area cultivated under summer cereals. In coastal areas and the eastern plateau, harvesting of spring cereals is beginning, temporarily improving food access for farming households. Although households are largely expected to rely on family labor for cereal cultivation, some fruit harvesting and, in highland areas, year-round qat harvesting is likely providing some **labor opportunities**. Meanwhile, below-average precipitation likely increased reliance on ground water for irrigation water in some areas, with farmers dependent on diesel pumps expected to be facing reduced profit margins due to above-average fuel prices.

The **fishing** sector remains challenged by conflict-related access constraints, significantly above-average fuel prices, and lack of cold chain infrastructure. Currently, the beginning of the windy monsoon season is expected to be limiting income from fishing along Yemen's southern coast and in Socotra.

The number of new COVID-19 cases reported daily in IRG areas has [significantly declined](#) since the peak of the second wave in March 2021 and has remained [under thirty](#) per day since early May. Overall, limited health system and testing capacity likely continues to result in underreporting of cases. In SBA areas, information remains limited due to the absence of reporting. As of June 20, a total [251,385 vaccine doses out of a planned 317,363](#) have been administered across IRG-controlled areas. Demand for the vaccine has increased due to the proof of vaccination requirement to enter Saudi Arabia. Meanwhile, authorities in Sana'a have agreed to receive 10,000 vaccine doses to vaccinate health workers under WHO supervision. Within Yemen, internal COVID-19 restrictions remain lifted.

Across Yemen, [nearly 9.7 million people](#) (around a third of the population) received emergency food assistance in April 2021 according to FSAC, with rations equivalent to approximately 80 percent of one month's caloric needs. According to WFP, approximately [8.4 million beneficiaries](#) were targeted in May 2021. In April, WFP resumed monthly distributions of humanitarian assistance in 11 districts (three in Al Jawf, five in Amran, and three in Hajjah) projected by the [latest IPC analysis conducted in late 2020](#) to have households facing Catastrophe (IPC Phase 5) outcomes. In other SBA areas, assistance was received in either April or May. However, new contributions from donor states including [from the EU](#) have reportedly allowed WFP to [resume monthly food distributions](#) in SBA-controlled areas of Hajjah, Al Jawf, Amran, Al Hudaydah, Raymah, Al Mahwit, Sa'ada, Dhamar, and Taizz beginning in June 2021. In other SBA-controlled areas, distributions will continue to occur every other month.

According to WHO **nutrition** surveillance at 154 sentinel sites across 21 governorates, the prevalence of Moderate Acute Malnutrition (MAM) and Severe Acute Malnutrition (SAM) as measured by weight-for-height z-score among children screened in [March 2021](#) were similar to the [same time last year](#). Though these are non-representative data and are subject to bias from changes in the locations of sites and the number of people seeking treatment, an increase in MAM and SAM prevalence would provide reason to investigate a potentially worsening nutrition situation.

Assumptions

The most likely scenario for the June 2021 to January 2022 period is based on the following national-level assumptions:

- Conflict between SBA and IRG forces in western Yemen is likely to continue at current high levels, similar to past years, with typical volatility in conflict intensity. Although not the most likely scenario, it remains possible that SBA forces reach Marib City during the projection period (see events that could change the scenario). In the south, progress toward implementation of the Riyadh agreement is expected to remain stalled, with fragmented leadership impeding

policymaking and increasing levels of civil unrest (relative to the current period) likely in areas worst affected by price increases and insufficient provision of public services including electricity and water.

- According to international forecasts, cumulative rainfall during Yemen's second rainy season from July to October is expected to be above average. Given this, risk of flooding is expected to be above average, with eastern lowland areas most at risk. A typical risk of cyclone strikes and associated flooding exists for Socotra and the southern coast through December 2021, with peak risk expected from October to December.
- According to international forecasts, above-average mean temperatures are most likely through October 2021 while average mean temperatures are most likely from November 2021 to January 2022.
- Risk of water- and vector-borne diseases such as cholera, malaria, and dengue are expected to be elevated during Yemen's second rainy season (in particular in association with flooding) and in areas where active conflict threatens infrastructure linked to water and sanitation.
- Desert locust presence in Yemen will likely remain minimal given current minimal presence, declining presence in Saudi Arabia, and the presence of FAO detection personnel on the ground in Yemen. Some risk of re-infestation persists—especially in the Yemen interior lowlands including in Shabwah, Marib, Al Jawf, and Hadramaut—through September due to anticipated above-average rainfall and associated favorable conditions for locust breeding.
- Overall, crop production levels are expected to be similar to last year but below pre-crisis levels due to the impacts of protracted conflict and increasing prices of inputs. While irrigation costs are expected to be higher than last year due to rising fuel prices, above-average rainfall during the second rainy season is likely to slightly decrease reliance on groundwater for irrigation. Overall, nominal income from crop sales is likely to be higher than last year due to inflation, but real income is expected to be similar to last year and below pre-crisis levels.
- Harvesting of *qat* is expected year-round in higher elevation areas. *Qat* production is expected to be near average given prioritization of this cash crop. Real income from *qat* sales is expected to be near average.
- As is typical, pasture conditions are generally expected to improve from July to September/October and then deteriorate throughout the remainder of the projection period. Given expectations for rainfall in the second rainy season, pasture conditions are likely to remain above-average through at least January 2022.
- Given several rounds of livestock vaccination by FAO and MAIL in late 2020/early 2021, livestock body conditions and productivity are expected to be similar to last year, with improvements over last year possible in some areas. Milk availability is expected to remain seasonally available through the October-December period. Livestock demand and prices are expected to increase prior to Eid Al Adha in July, increasing access to income from livestock sales, with improved fuel ability expected to facilitate households' ability to transport to market without paying middlemen. Overall, nominal income from livestock and livestock product sales is expected to be above average, while real income is expected to be similar to last year but below pre-crisis levels due to declining herd sizes.
- Food and income from fishing in the Red Sea is expected to improve during the first half of the projection period, while fishing in the Arabian Sea is expected to reduce through September due to the windy monsoon season, with Socotra highly impacted. Overall, fishing will likely remain below pre-conflict levels due to significantly above-average fuel prices, conflict-related access constraints, and lack of cold chain infrastructure.
- Significant shifts in oil production are not expected within the timeframe of the projection period. Oil production and export levels in 2021 are likely to be similar to levels in 2020. Given the likelihood that global oil prices will remain generally stable as global supply controls are eased, foreign exchange earnings from oil exports in 2021 are expected to be slightly higher than last year's levels and above the five-year average, but significantly below pre-conflict levels.
- Some limited COVID-19 vaccination is expected alongside the anticipated arrival of a cumulative 1.9 million doses in 2021. Currently enacted control measures including at land borders are expected to remain in place. Restrictions on businesses and gatherings are likely to remain limited and unenforced.
- Income from foreign remittances is expected to remain below pre-COVID levels. While COVID-19 vaccination requirements to enter Saudi Arabia will likely stall recovery in the first half of the projection period, gradual recovery is expected in the second half of the projection period. Income from domestic remittances is expected to remain below average due to significant fees for money transfers from IRG-controlled areas to SBA-controlled areas.

- Given expectations for oil export revenue, remittances, and funding for humanitarian operations, foreign currency shortages are expected to persist throughout the scenario period. Informal markets will continue to play a key role in regulating access to foreign currency.
- Due to the impacts of protracted conflict and foreign currency shortages, macroeconomic conditions are likely to continue deteriorating. In IRG-controlled areas, the YER is expected to depreciate throughout the projection period due to the inability of the CBY in Aden to meaningfully intervene, likely reaching levels above 1,000 YER/USD¹ by the end of the projection period. In SBA-controlled areas, the YER is expected to remain generally stable.²
- Due to persistent government revenue shortages, payment of pensions and civil servant salaries will likely remain intermittent or absent in many areas. Real income will remain significantly below pre-conflict levels.
- In lowland coastal areas, availability of agricultural and non-agricultural labor is expected to seasonally decrease from June to September and seasonally increase from November through the remainder of the projection period. In highland areas, availability of labor is expected to seasonally increase through late 2021. Availability of labor is expected to remain below average overall. Though wages are expected to increase in many areas due to inflation, the real value of income from labor is expected to remain stable or decrease and remain below average.
- Given expectations for currency depreciation, government revenue, and tensions between the IRG and STC, traders are not expected to access foreign currency through the LOC mechanism during most of the projection period, increasing costs of importing food and fuel. Given the typical lag time in the importation supply chain, this is expected to drive further price increases of basic imported food commodities throughout the projection period. Food imports of basic commodities are expected to continue at levels generally similar to those recorded in the first half of 2021, though a reduction in certain luxury food commodities (such as high-quality basmati rice, milk, and cheese varieties) is likely as traders begin to face import financing gaps in the remainder of 2021. A sharp and sustained decline in levels of food imports is not expected in the projection period, though remains possible should there be a shock to foreign currency availability. Informal trade of food and livestock across land borders is expected to be constrained due to Saudi Arabia's COVID-19 vaccination requirement, similar to the dynamics at the same time last year.
- In SBA-controlled areas, month-to-month volatility in levels of fuel formally imported through the Red Sea Ports is likely to continue. Fuel is likely to continue to be unofficially imported from Marib and other IRG areas. Given recent fuel imports in June, official fuel stations are likely to remain generally supplied in the short term (one to three months). Official fuel prices will likely remain close to current levels. Fuel will also likely continue to be supplied to private stations, with unofficial selling prices remaining higher than official prices. In IRG-controlled areas, fuel imports are expected to continue at levels similar to those recorded in the first half of 2021. Given recent significant price increases in early 2021, official fuel prices are expected to remain near current significantly above-average levels.
- Driven by depreciation of the YER, increased costs of imports, and increasing fuel prices, prices of essential food and non-food items are expected to increase throughout the scenario period, with southern areas worst affected (see price projections in "Areas of Concern" section below).
- Provision of emergency food assistance is expected to continue at current levels as of the June scale-up. Some scale-up in other humanitarian programs is expected in SBA areas. Access to assistance is expected to be temporarily constrained where conflict or flooding block roads. WFP school feeding programs are expected to start with the school year in September/October. Nutrition treatment programs are expected to continue operating at current capacity.

Most Likely Food Security Outcomes

In rural areas, food from the recently concluded winter cereal harvest in the highlands and the ongoing spring cereal harvests in the lowlands is expected to temporarily increase many rural households' access to food from own-production, though contribution to total food needs will be limited. In lowland areas, availability of food and income is expected to seasonally decline throughout most of the projection period, while in highland areas availability of food and income is expected to seasonally increase.

¹ Upper bound for the projection period is 1300 YER/USD and lower bound is 750 YER/USD

² Upper bound for the projection period is 575 YER/USD and lower bound is 650 YER/USD

Overall, poor households' capacity to access food from markets—the key food source for most—will be similar to or lower than during the corresponding period of last year and significantly below pre-conflict levels throughout the projection period. Increases in nominal income are expected to be insufficient to keep up with the rising costs of essential food and non-food commodities, with ability to expand income-earning to compensate expected to be limited. In southern IRG-controlled areas worst affected by price increases and declining purchasing power, an increasing number of poor households are likely to face consumption gaps as they exhaust available coping strategies. However, in many northern SBA-controlled areas, the scale-up in humanitarian assistance is expected to reduce consumption gaps for many households, improving their overall access to food relative to last year and reducing the number of households facing Crisis (IPC Phase 3) or worse outcomes.

Most areas of western Yemen are expected to remain in Crisis (IPC Phase 3) throughout the projection period, though with the support of large-scale humanitarian food assistance preventing more severe outcomes in many areas. During this time, households who are fully market-dependent for food—including urban households—are expected to be worst affected by declining purchasing power, with widening consumption gaps expected for many and deterioration to Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) likely for worst-affected poor households whose income earning is most limited and who are not receiving humanitarian assistance. The prevalence of acute malnutrition is expected to decrease somewhat at the national level from around July to around October/November in line with typical seasonal trends, before increasing through the remainder of the projection period.

Needs are expected to increase seasonally in lowland areas and decrease seasonally in highland areas for the majority of the projection period. Overall, at the national level, approximately 17-19 million people are expected to be in need of humanitarian assistance to prevent consumption gaps and protect livelihoods through January 2021. In a worst-case scenario, significant declines in commercial import levels and/or conflict that cuts off food supply to some areas could lead to food security outcomes in line with Famine (IPC Phase 5).

Events that Might Change the Outlook

Possible events over the next eight months that could change the most-likely scenario:

Area	Event	Impact on food security outcomes
National	Inability of humanitarian actors to deliver assistance as planned	Access to food would be significantly reduced for many poor households in affected areas. Beneficiary households would likely face widening consumption gaps until assistance provision resumes, and ability to share food or resources with others in the community would be severely constrained. Many households would likely quickly exhaust any coping strategies that remain available to them, with worst-affected households likely to face Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes. Deterioration would be most rapid in areas worst affected by declining purchasing power.
National	Food import levels decline dramatically	Food prices would likely rise as market actors respond. In the medium term (four to six months), if prolonged, a significant reduction in commercial food imports would be expected to manifest in reduced food availability in many areas of the country as stocks in Yemen (expected to be equivalent to around three months of needs) are depleted. This would result in further food price increases and would be expected to result in an increase in the number of households facing Crisis (IPC Phase 3) or worse outcomes—as well as an increase in the severity of acute food insecurity outcomes among these households—as their purchasing power reduces. Area-level deterioration to Emergency (IPC Phase 4) would be possible in areas where food availability is significantly reduced for a prolonged period. In a worst-case scenario where food supply is cut off from particular areas for a prolonged period of time, Famine (IPC Phase 5) remains possible.
Red Sea coastal areas	Decaying SAFER oil tanker causes a spill	Although this event is not assessed to be highly likely during the scenario period, the risk of this is increasing over time. Should this occur, destruction of fish and fishing grounds would further damage livelihoods along the Red Sea coast, in addition to more widespread environmental consequences. Households dependent on fishing would be expected to face increasingly constrained food access, with an increasing number expected to face Crisis (IPC Phase 3) or worse outcomes.

AREAS OF CONCERN

Marib Governorate

Current Situation

Marib governorate is located in north-central Yemen and is home to an estimated 1.5 million people (though estimates vary), over half of whom are displaced. Overall, around three quarters of the governorate's population live in the main urban center and capital, Marib City. Most displaced households also live in Marib City, with smaller shares living in the more than one hundred formal displacement settlements within the governorate (mostly around Marib City) and in rural areas (Figure 5). While IRG forces are in [control of most of the governorate's](#) land area and population—including in Marib City—SBA forces control most (all but four) districts as these are concentrated in the west of the governorate.

Oil and natural gas are important resources in Marib and, in late 2016, Marib formally secured a 20 percent share of the governorate's oil and gas revenues. This has been supporting provision of public services including regular monthly payment of civil servant salaries in IRG-controlled areas. In rural areas, the main livelihood activities are agriculture, trading, grazing and animal husbandry, and beekeeping and honey marketing. Despite limited qat production, the qat marketing chain also provides opportunities for income-earning.

Marib's location and oil and gas reserves make it strategic for parties to the conflict to control. In February 2021, conflict escalated as SBA forces resumed their offensive eastward toward Marib City. In May, SBA advancement slowed after reported significant territorial gains in April. However, according to information from IOM, ground fighting across the frontline areas resumed in early June. Overall, fighting has been concentrated to the northwest, west, and southwest of the city. Additionally, missile strikes aimed toward Marib City continue to cause civilian casualties, damage infrastructure, and destroy property.

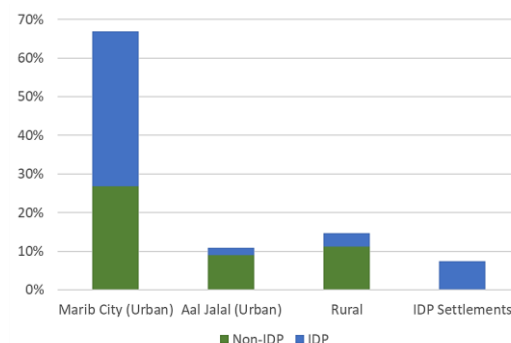
According to data from the Civilian Impact Monitoring Project (CIMP), [79 recorded incidents](#) of armed violence have directly impacted civilians in Marib from the beginning of 2021 to April 12, 2021, resulting in 74 civilian casualties, including 18 fatalities. Of these casualties, 40 were reported in March, the highest number reported in one month since 2018. Despite a period of similar escalation in conflict in early 2020, the number of civilian casualties recorded in first quarter of 2021 is over half of the number recorded throughout all of 2020. More recently, since the beginning of June 2021, [SBA missile strikes](#) in Marib City have caused over 30 recorded civilian fatalities.

From January 1 to June 19, 2021, the IOM recorded [2,570 displaced households](#) across the governorate. Displaced households have been separated from their land and livestock and have consequently lost their main livelihoods and sources of food and income. Overall, people in Sirwah district—which hosts around [30,000](#) displaced people in at least 14 sites—have been worst affected by the direct impacts of conflict, with those displaced or re-displaced from Sirwah moving closer to Marib City.

As has been the case across IRG-controlled areas, the local currency has been depreciating in Marib since the beginning of 2021. In May 2021, the average parallel market exchange rate was 32 percent higher than at the same time last year and 53 percent higher than the three-year average according to [data from FAO](#). This has been contributing to increasing prices of food and non-food commodities.

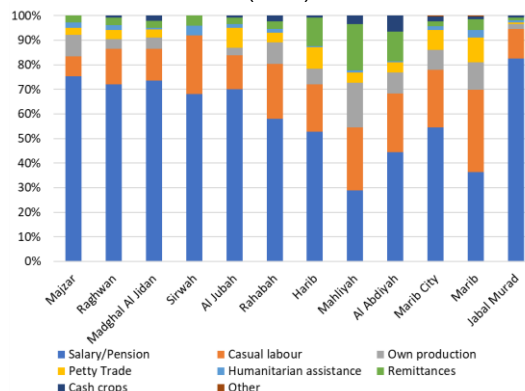
Marib's supply of staple foods is mostly imported through Yemen's main seaports and then transported eastward from Al Hudaydah (via Sana'a) and northward from the southern ports. Informal taxes that traders must pay at checkpoints on all main roads into the governorate are putting additional upward pressure on prices. Currently, basic food commodities are available, though traders are known to restrict supply at times of high demand and charge higher prices, as occurred earlier this year when households stockpiled food alongside escalating conflict. According to FAO data, the cost of the MFB increased by 5 percent from April to May 2021 to reach levels 73 percent higher than at the same time last year.

Figure 5. Estimated population shares within Marib governorate in 2021



Source: FEWS NET, using data from key informants

Figure 6. Self-reported primary income source, by district, according to 2020 Food Security and Livelihoods Assessment (FSLA)



Source: FEWS NET, using data from the 2020 FSLA

According to the Food Security and Livelihoods Assessment (FSLA) conducted by FAO, WFP, UNICEF, and Yemeni government in 2020, more than 50 percent of the population depends on government salaries or pensions as their primary source of income and more than 20 percent depend primarily on casual labor (Figure 6). Despite the regularity of payments in Marib, depreciation of the local currency has contributed to declining value of payments, which have not been raised since the start of the conflict. Meanwhile, intensified conflict last year in early 2020 significantly impacted income-earning among laborers, reducing labor availability and wages. Since then, wages for agricultural and unskilled labor have recovered in nominal terms, while wages for semi-skilled labor remain lower, likely at least partially attributable to lack of investment in projects that require qualified skilled labor—such as construction—given conflict and instability. In May 2021, wages for semi-skilled labor were 46 percent lower than in January 2020 and 71 percent lower than the IRG average.

Despite wage rate increases over the past year, purchasing power as measured by the terms of trade (a ratio) between wage rates and wheat flour prices have been deteriorating due to significant food price increases. In May 2021, terms of trade for semi-skilled, agricultural, and unskilled laborers were 40, 20, and 15 percent lower, respectively, than at the same time last year. This has been further constraining poor households' access to food, especially in urban areas where households are more market dependent.

In agricultural Al Wadi district, households are mainly concentrating on typical farming operations including the irrigation of citrus trees. While the potato harvest ended in April, the harvest season for tomato and other vegetables like eggplant, chilly, and squash is ongoing until June. Active conflict, displacement, and volatile prices of fuel and agricultural inputs continue to impact crop production and marketing in Marib. Although local production has limited contribution to overall food requirements, Marib's current cereal harvest season—which ended in March for barley and mid-April for wheat and is ongoing for sorghum and maize—has contributed slightly to food stocks at the household level.

According to [FSAC](#) reporting, WFP and partners target nearly 500,000 households monthly for emergency food assistance at the governorate level, around 50 percent of whom are in Marib City. For over 60 percent of beneficiaries, assistance is in the form of food voucher, with the remaining beneficiaries receiving in-kind food. In March, only 9 percent of targeted beneficiaries were reached in Marib City and none were reached in Medghal. This resulted from bureaucracy of authorities, whereby traders based in SBA-controlled areas were prevented from distributing food in areas under IRG control. Since then, traders have been changed such that food for assistance distributions is now being sourced from IRG-controlled areas.

Currently, Marib hosts an estimated 36,393 households across 148 IDP settlements according to the Camp Coordination and Management Cluster (CCCM), around 40 percent of whom are receiving monthly emergency food assistance. The recent escalation of conflict in Marib has increased assistance needs, especially for displaced households. According to [WFP reporting](#), WFP and partners are providing an emergency assistance package and a one-month food ration to newly displaced households.

According to a mobile phone survey conducted by [FAO](#) in areas of Yemen expected to be facing relatively worse levels of acute food insecurity, 22 percent of households surveyed in the most recent round of data collection from October 2020 to February 2021 were experiencing moderate or severe food insecurity according to the Food Insecurity Experience Scale (FIES) threshold consistent with Crisis (IPC Phase 3) classification. This was a slight increase (of around 8 percentage points) from what was reported in the previous survey round conducted in August/September 2020.

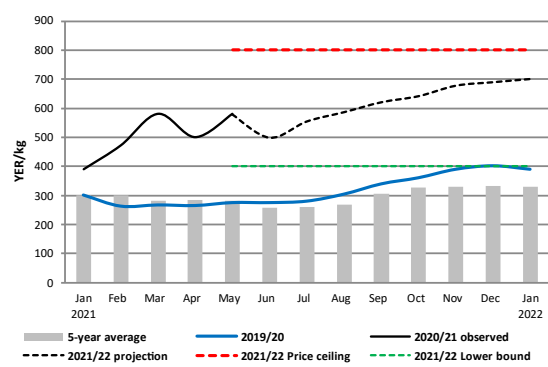
Overall, rising food prices and below-average access to income have likely increased many households' reliance on coping strategies like borrowing money, buying food on credit, or reducing essential non-food expenditures. An increasing number of poor households are expected to have exhausted these strategies and have likely been relying on strategies such as reducing meals sizes, with consumption gaps and Crisis (IPC Phase 3) or worse outcomes expected. Overall, Crisis! (IPC Phase 3!) food security outcomes are likely at the area level. In formal IDP settlements, while some households receiving assistance are expected to be facing Stressed! (IPC Phase 2!) or Crisis! (IPC Phase 3!) outcomes, many poor households who are not receiving assistance are likely facing large consumption gaps or engaging in severe coping strategies such as begging, with Emergency (IPC Phase 4) outcomes expected.

Assumptions:

In addition to the national-level assumptions, projected outcomes for Marib governorate are based on the following:

- Conflict and displacement are expected to continue at current levels, though with volatility likely. Many households who are newly displaced or re-displaced will likely prefer to move toward Marib City and to the agricultural Al Wadi district for better livelihoods opportunities, adding pressure to fragile existing public services and increasing competition for limited income-earning opportunities, raising levels of social tension.
- Given expectations for currency depreciation, high transportation costs due to high fuel prices and official and unofficial taxes, and traders' monopoly on food commodities, food prices are expected to increase during the projection period, with wheat flour prices projected to reach levels around 700 YER/kg by January 2022 (Figure 7).

Figure 7. Integrated price projections for imported wheat flour in Marib (YER/kg)



Source: FAO (observed) and FEWS NET (projected)

- Labor opportunities will likely remain limited in the June to September period and increase in the October to January period due to the harvesting of sesame, fruits, and vegetables. Overall, the unpredictable conflict situation will likely continue to disrupt economic activity and limit access to agricultural land and markets, with income earning from labor opportunities expected to remain below average.
- Given expectations for above-average rainfall in Yemen's second rainy season from July to September, risk of flooding is expected to be elevated. Flooding would likely destroy shelters in IDP settlements and damage crops and livestock.
- Income from livestock sales is expected to increase due to high demand for Eid al-Adha through July and due to anticipated good pasture availability as a result of above-average rainfall anticipated in the second rainy season.
- Household food stocks from crop production are expected to last around two to three months (though this varies).
- An additional 10,000 households in IDP settlements are expected to begin receiving monthly humanitarian assistance within the coming two months according to FSAC. As such, around 60 percent of households in IDP settlements are expected to receive monthly assistance throughout the projection period.

Most Likely Food Security Outcomes

Poor economic conditions and conflict are expected to continue limiting access to food and income from typical livelihoods during the projection period. As such, rising prices of food and non-food commodities are expected to further reduce household purchasing power, resulting in depletion of remaining household savings and assets for many households. Poor urban households and displaced households are likely to be worst affected, as they are highly market dependent for food.

In rural areas, many poor rural households will likely continue to face some consumption gaps, particularly in the first half of the projection period due to limited labor availability. In the October to January period, the onset of agricultural season is expected to provide increased access income from labor opportunities. However, in areas affected by active conflict, limited access to land is likely to disrupt typical agricultural activities, limiting access to food from own-production and income from agricultural labor. Among pastoralists, overall access to food and income is expected to remain below average due to rising food prices and other challenges facing the livestock sector, including high input prices.

Overall, many poor households are expected to continue facing some consumption gaps during the projection period, with Crisis! (IPC Phase 3!) outcomes expected to persist at the area level in the presence of humanitarian assistance. In the second half of the projection period, some reduction in consumption gaps and in the size of the population facing more severe outcomes is expected, particularly among rural households. Given expectations for conflict, additional households are expected to be displaced or re-displaced, with Crisis (IPC Phase), Crisis! (IPC Phase 3!), or worse outcomes likely among many.

Events that Might Change the Outlook

Possible events over the next eight months that could change the most-likely scenario:

Area	Event	Impact on food security outcomes
Marib	Conflict reaches Marib City	Tens or hundreds of thousands of households in Marib would likely be displaced or re-displaced as conflict progresses eastward. While some re-displaced households would likely move back to their original homes in western parts of the governorate, others are likely to move to eastern parts of Marib, Shabwah, and Hadramaut. However, it remains possible that conflict restricts movement and prevents households from fleeing to safer areas and from being reached with humanitarian assistance. Should this occur, Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes would be likely. Among many poor households who are not able to flee or who choose to remain in the city and surrounding areas, access to food would likely be further constrained as food prices increase due to the likelihood of some households stockpiling food and due to increased taxes for traders entering Houthi-controlled territory. In the stretch of days after conflict reaches the city, Emergency (IPC Phase 4) or Catastrophe (IPC Phase 5) outcomes would be likely among worst affected households who cannot access markets. There also remains a risk that humanitarian actors would not be able to access the city for a period of around two months, as occurred in Al Hudaydah, which would likely result in widening consumption gaps among worst-affected households.

Socotra Governorate

Current Situation

The Socotra archipelago consists of six islands located in the eastern Gulf of Aden. The archipelago's largest island, Socotra, is comprised of two districts: Hadibo and Qalansiya and Abdulkuri. Socotra has an estimated [population](#) of 68,846, the vast majority of whom live in the capital city, Hadibo, where most markets and public institutions are located.

For poor households, important [livelihood activities](#) include fishing, livestock rearing, date palm cultivation, and small-scale trade. Fish, livestock, honey, and dates are exported. Fishing is the most important economic activity on the island and provides most opportunities for labor. Due to [inadequate storage and processing facilities](#), Socotri fishermen reportedly have little control over the market, with commercial traders able to control prices. Fishing is viable throughout the year but is more limited during the windy monsoon season from June to September. During this time, Socotra is in near complete isolation from mainland Yemen and neighboring countries. Currently, the start of the monsoon season is expected to be reducing fishing activity. During Socotra's main rainy season from October to December, the island is most at risk of cyclone strikes and floods from torrential rains, which have historically resulted in significant damage to critical infrastructure and disruptions to livelihoods, and which have increased in frequency in recent decades.

Livestock production is common and is overall likely to be the second most important livelihood activity for poor households on the island, after fishing. During monsoon months, demand for livestock drops due to lack of exports and livestock is sold locally at reduced prices. In May 2021, the price of sheep (12 months) was [29 percent above](#) the short-term average and 9 percent above prices at the same time last year according to data from FAO. Agricultural production also contributes somewhat to households' access to food and, more notably, access to income from crop sales (mostly fruits).

The local currency in Socotra has generally followed the same trend of depreciation as in IRG-controlled areas of the mainland. In May 2021, the parallel market exchange rate had reached 906 YER/USD, 36 percent higher than at the same time last year.

Socotra is susceptible to fuel shortages due to its isolation from the mainland. Previously, the IRG-affiliated Al Eesy Group enjoyed a monopoly over the fuel import market, though the entry of the Abu Dhabi National Oil Company (ADNOC) in recent years has changed this. In April 2021, fuel shortages resulted in the temporary closure of fuel stations—run by ADNOC—

according to reports from Intelyse. Over a month later, in the first week of May, a UAE vessel unloaded a fuel shipment in Socotra port according to media reports. Overall, prices of both official and unofficial fuel have increased significantly since the start of the year. In May 2021, unofficial petrol prices were 88 percent higher than at the same time last year. Rising fuel

prices are raising costs of typical livelihood activities and putting upward pressure on food prices due to increased transportation costs both to and within the island.

According to data from the MTI, food commodities are likely relatively well stocked on the island. From February to May 2021, 3,305 MT of food were imported into Socotra for commercial and humanitarian use, significantly higher (by 43 percent) than during the same period of 2020. However, food prices have been increasing rapidly on Socotra, outpacing increases in other areas (Figure 8), driven by depreciation of the currency and rising fuel prices. According to [FAO data](#), the cost of the MFB in May 2021 was 44 percent higher than at the same time last year, driven by a 50 percent increase in wheat flour prices.

Many rural households are likely benefiting from increased food from own-production and income from fruit crop sales following the recent harvest season. Though data are limited, it is expected that rising prices of inputs—alongside depreciation of the currency—are constraining some poor households' ability to cultivate their land. However, above-average rainfall received in the 2020 rainy season likely benefited crop production.

According to the 2020 FSLA, 73 percent of households in Hadibo and 61 percent of households in Qalansiya and Abdulkuri rely on government salaries and pensions as their primary source of income. Salary payments have not been adjusted upward since the start of the conflict. Meanwhile, 6-7 percent of households rely on casual labor as a primary source of income and an additional 27-34 percent rely on it as a secondary source of income. According to data from FAO, wages for unskilled labor increased by 5 percent from December 2020 to May 2021 to reach levels 5 percent higher than the previous year, while wages for semi-skilled labor decreased by 6 percent in the same period though are 25 percent higher than at the same time last year. However, wage increases over the past year have not kept up with rising food prices, with terms of trade between labor wages and wheat flour prices 26 percent lower than last year for unskilled (casual) laborers and 17 percent lower for semi-skilled laborers. Though information is limited, increasing levels of civil unrest in recent months may be further constraining availability of labor opportunities due to limited investment.

According to FSAC, approximately 51 percent of the population is being targeted with 80 percent rations of monthly humanitarian assistance. In March and April 2021, around 89 percent of the targeted population was assisted in Hadibo while 75 percent was assisted in Qalansiya and Abdulkuri.

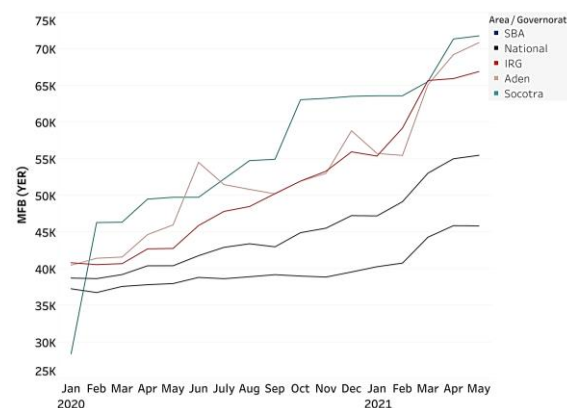
According to food security outcome indicator data from the 2020 FSLA, the worst associated IPC phase reported by at least 20 percent of households was: Crisis (IPC Phase 3) for Food Consumption Score, Stressed (IPC Phase 2) for rCSI, Stressed (IPC Phase 2) for Household Hunger Scale, Crisis (IPC Phase 3) for Household Dietary Diversity Score, and Crisis (IPC Phase 3) for livelihood coping indicator. Since the time of data collection in January—a time of year when overall access to food and income from various sources is expected to be similar to the current situation considering counterbalancing trends—rising food and fuel prices and declining terms of trade are expected to have caused many households to increasingly reduce dietary diversity and rely on coping strategies such as borrowing money, spending savings, and selling assets. Households who have already exhausted these strategies are likely selling productive assets (such as fishing boats), reducing expenditures on livelihood inputs (potentially limiting amount of cultivated land), or reducing the size or frequency of meals. Crisis (Phase 3) food security outcomes are currently anticipated at the area level, though information on current food security conditions is limited. Though some households are likely in Stressed! (IPC Phase 2!) or Crisis! (IPC Phase 3!) in the presence of assistance, it is not expected that assistance is preventing Emergency (IPC Phase 4) outcomes at the area level.

Assumptions

In addition to the national-level assumptions, projected outcomes for Socotra governorate are based on the following:

- Income from fishing is expected to be at seasonally low levels during the monsoon season from June to September.

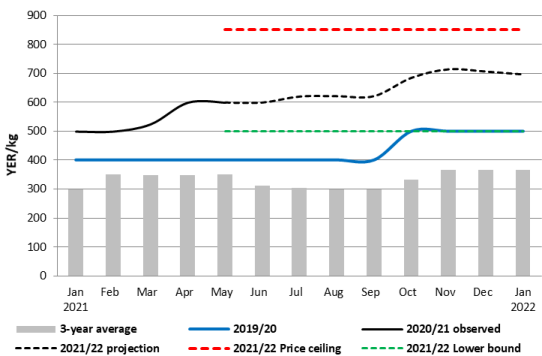
Figure 8. Cost of MFB (YER) in Socotra compared to other areas of Yemen



Source: FEWS NET, using data from FAO

- Two fuel shipments—one from ADNOC and one from Al Eesy—are expected to arrive imminently according to key informants. As such, fuel prices are expected to recover slightly, though will likely increase overall during the projection period.
- Driven by depreciation of the currency and rising fuel prices, food prices are generally expected to increase throughout the scenario period (Figure 9). However, due to lack of export demand, downward pressure on locally produced commodities is expected during the monsoon months.
- Based on current trends and anticipated stable or declining demand for semi-skilled labor, wages are not expected to increase during the scenario period. For unskilled laborers, demand is expected to increase in October after the monsoon season ends, though wage increases are not expected to keep up with rising food prices. As such, worsening terms of trade are likely for all types of labor.
- According to international forecasts, average rainfall is most likely during Socotra’s upcoming main rainy season from October to December, though uncertainty exists due to the long-term nature of the forecast. As such, risk of flooding is expected to be average during the scenario period. A typical risk of cyclone strikes expects through December, with peak risk from October to December, as is typical.
- Pasture conditions are expected to continue to decline, as is typical, through around September before improving to peak levels throughout the remainder of the projection period. Income from livestock and livestock product sales are expected to increase following the monsoon period when exports resume.
- Provision of humanitarian food assistance is expected to continue at current levels. During the monsoon season, it is expected that rations stored in WFP’s warehouse(s) on the island will continue to be distributed on a monthly basis.

Figure 9. Integrated price projections for imported wheat flour in Socotra (YER/kg)



Source: FAO (observed) and FEWS NET (projected)

Most Likely Food Security Outcomes

During the first half of the projection period, access to food and income is expected to seasonally decrease with the windy monsoon season. During this time, rising food prices will likely further reduce purchasing power for many poor households, though access to some locally sourced commodities will likely improve due to the absence of export demand.

During the second half of the projection period, access to income is likely to improve as trade resumes and demand for labor increases. For many rural households, improvements in pasture conditions are also expected to support increased access to food and income from livestock and livestock product sales, while agricultural production in this period is expected to improve access to own-produced food. However, for many households—especially those who are more market dependent in urban areas—rising food prices are likely to continue constraining access to food, with increasing consumption gaps likely for those who have exhausted ability to cope. Overall, Crisis (IPC Phase 3) outcomes are expected to persist at the area level.

Events that Might Change the Outlook

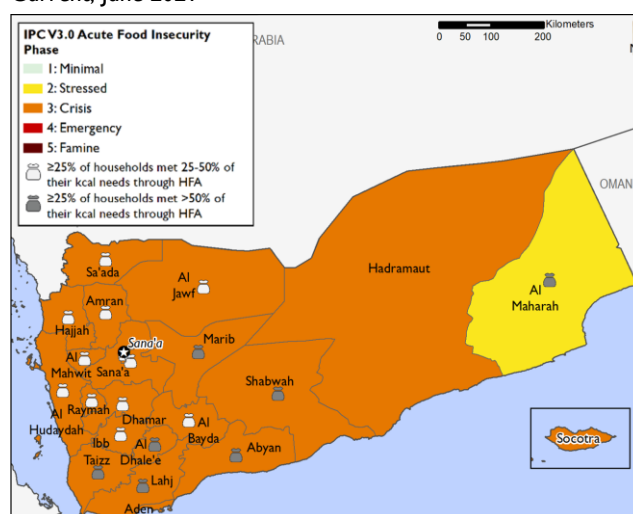
Possible events over the next eight months that could change the most-likely scenario:

Area	Event	Impact on food security outcomes
Socotra	Significant flooding or damage from cyclone strikes	Cyclones or severe flooding similar to what occurred in 2016 and 2018 would likely result in damage to critical infrastructure and financial losses. Localized damage to households’ productive assets would disrupt livelihoods and restrict access to food and income. Households impacted by significant damage to property and assets, including crops and livestock, would likely be in need of livelihoods assistance, with worst-affected likely to need emergency food assistance to prevent consumption gaps.

MOST LIKELY FOOD SECURITY OUTCOMES AND AREAS RECEIVING SIGNIFICANT LEVELS OF HUMANITARIAN ASSISTANCE*

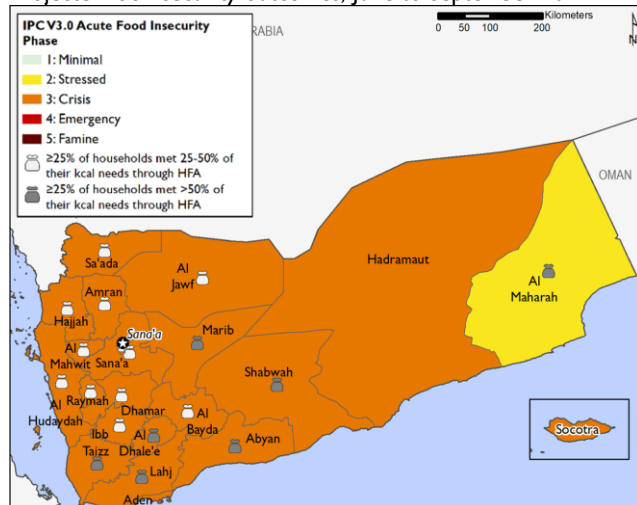
Each of these maps adheres to IPC v3.0 humanitarian assistance mapping protocols and flags where significant levels of humanitarian assistance are being/are expected to be provided. 🏠 indicates that at least 25 percent of households receive on average 25–50 percent of caloric needs from humanitarian food assistance (HFA). 🏠 indicates that at least 25 percent of households receive on average over 50 percent of caloric needs through HFA. This mapping protocol differs from the (!) protocol used in the maps at the top of the report. The use of (!) indicates areas that would likely be at least one phase worse in the absence of current or programmed humanitarian assistance.

Current, June 2021



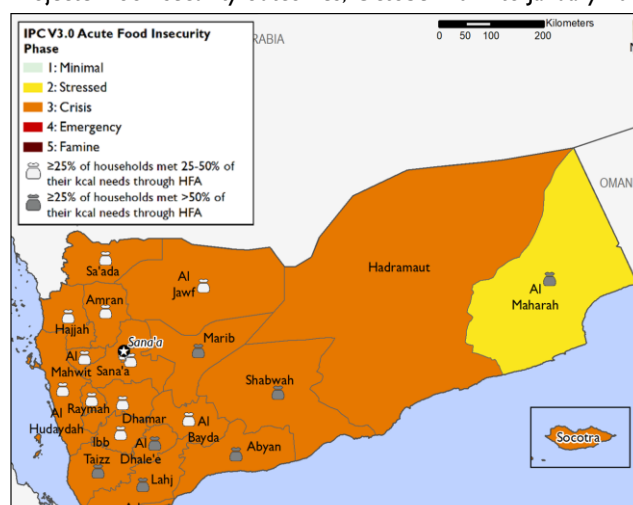
Source: FEWS NET

Projected food security outcomes, June to September 2021



Source: FEWS NET

Projected food security outcomes, October 2021 to January 2022



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. [Learn more here.](#)